

Japan Industrials: HK investor visit/Yaskawa 1Q/JSW MTP feedback; focus on execution and pricing

We visited investors in Hong Kong from July 6 to 9, and received extensive feedback following Yaskawa Electric's 1Q results announced after the July 10 close and the Japan Steel Works medium-term plan update briefing on July 13. We summarize the key takeaways below.

While many investors agreed with our bullish view on FA, we came away with the impression that interest in non-FA stocks has grown stronger than we had anticipated, perhaps reflecting a shift in broader market sentiment and a change in the degree of interest in AI. We are also receiving more questions than before about where we currently stand in the cycle. We intend to maintain our preference for the FA subsector through the rest of the year, particularly ahead of the September quarter earnings announcements, as we expect consensus estimates to continue to be revised upward during this period.

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HK investor visit feedback: FA: AI proxy stocks — focus shifts from supply/demand tightness to whether price hikes are materializing

Many investors recognize that this capex cycle is entering its peak phase, and are reassessing its sustainability, when the peak period will arrive, and what the next drivers will be. Some held a constructive view that the current cycle, driven by semiconductors and AI/data centers, should remain very strong through CY2027-2028, in line with the direction of WFE and semiconductor capex forecasts. On the other hand, given that machine tool and FA cycles have historically tended to move more sharply and lead the broader cycle on both the upside and downside, some investors see the cycle peaking by end-2026. In any case, expectations were high that supply/demand tightness is very pronounced and that its benefits will be confirmed this summer, with the majority view being that order trends and earnings trends at FA-related companies should come in at or above market expectations.

It is precisely for this reason that many investors agreed with our view — also discussed in our Taiwan research trip report ([our report](#)) — that the possibility of product price hikes in response to supply/demand tightness is likely to become a key focus going forward. Ultimately, this will come down to whether companies can demonstrate an early return to peak profit levels, sustain those levels, and signal the potential for further profit growth. We believe many investors also agreed with our view that electrical/electronic FA companies are more likely to achieve this. Since the earnings miss at Yaskawa Electric — which was driven by company-specific factors — did not provide a clear picture of pricing trends, attention will likely turn to Keyence's earnings, scheduled to be disclosed after the July 28 close, for more detail on this front.

We assume that the FA cycle driven primarily by semiconductors is likely to remain sustainable through CY2027-2028, but that order trends in areas closer to “general industry” will peak out in CY2026 (FY3/27). Accordingly, we also assume that machine tool orders will turn slightly negative year on year in CY2027 (FY3/28). We have the impression that a strong consensus has yet to form among investors and the broader market on this point.

HK investor visit feedback: Aerospace & Defense: Interest from investors growing more than expected as a non-AI play

Within the Japan Industrials sector, where an AI $\approx$ FA equation tends to hold, we received more inquiries than expected asking whether Aerospace & Defense stocks — as non-AI plays — still offer upside potential. Given the current market sentiment driven by the tech sector, we had assumed that questions on Aerospace & Defense would be limited (with the balance of interest roughly 90% FA and 10% Aerospace & Defense), but our impression was that investor interest was closer to 70% FA and 30% Aerospace & Defense. Some investors expressed a strong desire to scrutinize the heavy industry companies as non-AI stocks with high earnings growth visibility, partly because of the sharp multiple contraction in AI-related stocks from their peak at the start of the year and the front-loading of capex sentiment into 2026.

However, in terms of individual stocks, investors showed stronger interest in a turnaround at IHI — whose multiples have fallen sharply from their peak at the start of the year — and a re-rating of Kawasaki Heavy Industries — which announced a share issuance and convertible bond issuance — rather than in Mitsubishi Heavy Industries, on which we have a Buy rating. Among the three heavy industry companies, we prefer

Mitsubishi Heavy Industries as one of the stocks likely to deliver the highest earnings growth with the greatest degree of certainty when looking out to FY2027-2028. We also recommend Japan Steel Works, AeroEdge, and SKY Perfect JSAT as small/mid-cap ideas within the Aerospace & Defense subsector.

FAQ post-Yaskawa earnings: Yaskawa's miss was company-specific, but execution risk at other FA names has become a new focus

After our follow-up with Yaskawa Electric (Buy, on CL), we made significant downward revisions to our estimates for FY2/27 in particular ([our report](#)). While the company repeatedly emphasized that the issues were specific to Yaskawa and not an industry-wide phenomenon, investor attention has shifted to execution risk at other companies. Our impression is that the constraints on Yaskawa's revenue, shipments, and production stemming from the ERP issues are largely attributable to internal factors, and that order trends themselves remain buoyant, with component procurement proceeding smoothly despite higher costs. However, while ERP-related issues are purely company-specific, the question of whether other companies may be harboring execution risks that are not visible from the outside has suddenly emerged as a key concern. This reflects a growing awareness not only of the lead time delay risk for certain products that we also flagged during our Taiwan research trip, but also of the risk of higher variable costs from being overly busy and the risk of operational issues arising from human resource constraints.

As a result, we think this quarter's earnings season will attract more attention than usual to whether companies are executing smoothly. More specifically, the following points are likely to be discussed more actively than simply whether orders and earnings beat expectations due to supply/demand tightness: (1) whether there are any headwinds to revenue and order trends from production or procurement constraints; (2) whether there have been any changes to the overall cost structure, including not only component costs but also labor and other fixed cost trends; (3) whether the overly buoyant demand environment is giving rise to speculative demand, such as advance ordering; (4) whether lead time extensions — a common cause of such speculative demand — are occurring; and (5) when supply capacity will be expanded (i.e., when supply/demand easing will be triggered).

In light of these shifts in investor sentiment and the current supply/demand environment, among the FA stocks with upcoming earnings announcements, we particularly prefer Keyence as a Buy-rated name with relatively limited downside risk.

FAQ post-JSW MTP announcement: Focus on pricing assumptions

Japan Steel Works released an outline of updates to its medium-term plan JGP2028 on July 7 and held an investor briefing on July 13 ([our report](#)). Supply/demand tightness for critical components used in gas turbines and nuclear power has intensified further since the medium-term plan was originally formulated in 2024, and the key focus for investors was how far profitability in the material & engineering business could improve, driven by both (1) expansion of marginal profit from higher shipment volumes and (2) unit price improvement (pricing) for large components.

In this update, the segment operating profit target for the material & engineering business in FY3/29 was raised substantially, from ¥8 bn (OPM 15%) to ¥16 bn (OPM 20%). However, based on our conversations with investors, the prevailing reaction was

one of mild disappointment, partly because Bloomberg consensus had already reached a similar profit level on the back of growing expectations for higher shipment volumes. While FY3/26 actual results had already reached approximately ¥8.9 bn (OPM 19%), the company's FY3/27 guidance of ¥9.5 bn (OPM 16%) implied a temporary decline in profitability, which had been a source of growing investor concern. While the company's explanation — citing front-loaded increases in fixed costs — was understandable, the overall investor reaction was that the new FY3/29 target also looks like a conservative numerical target.

In our view, the FY3/29 OPM target of 20% still incorporates conservative assumptions for the pass-through of fixed cost increases and unit price improvement driven by supply/demand tightness, and we believe meaningful upside potential remains. On the other hand, the company has indicated that the front-loaded increase in fixed costs is expected to continue not only in FY3/27 but through FY3/29 as well, and investors appear to be mindful of the possibility that the timing of a full-fledged profitability recovery could be pushed back, depending on the pace of progress in passing through fixed cost increases.

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